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Report Highlights:

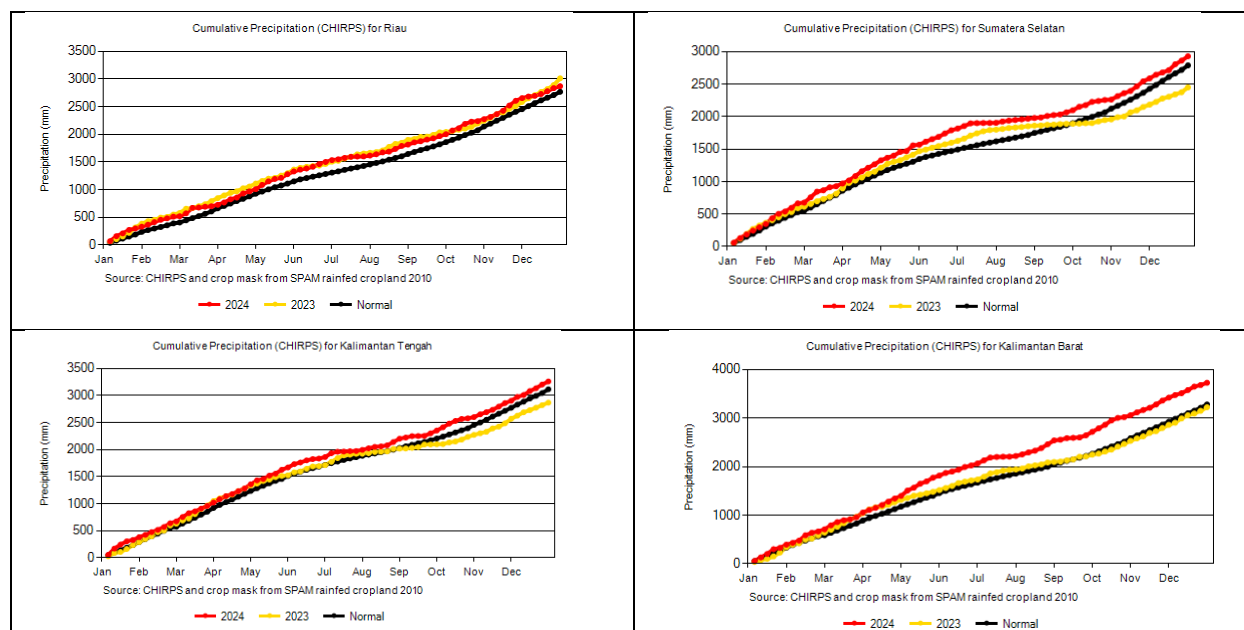
Indonesia's palm oil export estimates for 2024/25 are lowered due to the rollout of the new B40 Biodiesel mandate which is expected to raise domestic industrial palm demand by 2 percent. The expansion of the government's Free Nutritious Meals Program is projected to increase demand for soy-based foods as well as soy-based feed ingredients to fuel increased domestic production of animal protein for the program in 2024/25. Imports of soybean and soybean meal accelerated in the first two months of 2024/25 as prices softened.

Production

Post maintains 2024/25 Indonesia palm oil production estimates will rise 1.4 million metric tons (MMT) to 45.5 MMT on favorable weather in most producing areas. Cumulative precipitation continued to be above normal from October to December 2024 in South Sumatera, Riau, and Kalimantan in conjunction with the onset of the rainy season in those regions. The local weather agency (BMKG) [reported](#) that most regions experienced either medium or heavy precipitation (39 percent and 58 percent respectively) in December 2024.

The estimate for 2023/24 palm oil production is at 44.1 MMT, a 900,000 MT reduction from the 2022/23 production estimate due to the El Nino-induced drought which lowered yields, particularly in the Southern Sumatera Region (See [ID2024-0022](#)).

Figure 1. Precipitation in Palm Oil Producing Areas, 2023-2024



Source: [IPAD Crop Explorer](#)

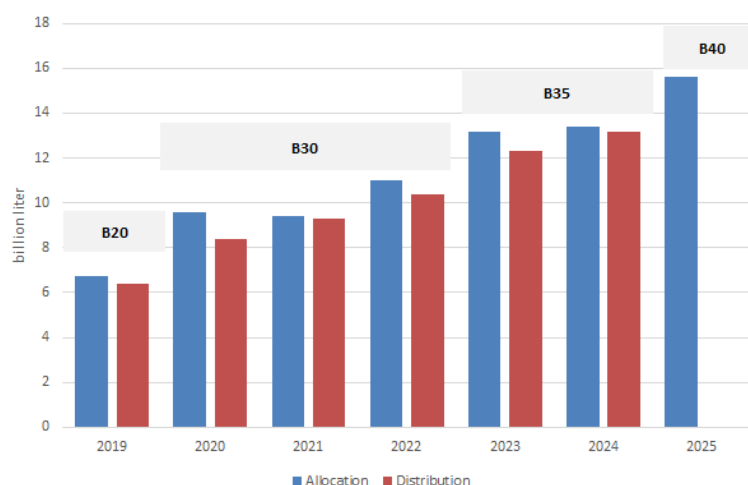
Consumption

Indonesia's palm oil consumption for 2024/25 is expected to increase 2 percent to 22 MMT in 2024/25 on higher industrial use for Indonesia's implementation of the B40 biodiesel program, which will increase palm biodiesel content from 35 percent to 40 percent. In early January 2025, the Government of Indonesia (GOI) issued its [allocation decree](#) for this new B40 biodiesel blending mandate, setting the total allocation for the year at 15.62 billion liters: 7.55 billion liters for Public Service Obligation (PSO) diesel and 8.07 billion liters for non-PSO diesel.¹ Despite increasing the mandatory blend rate from 35 percent in 2024 to 40 percent, the GOI is providing

¹ Public Service Obligation (PSO) diesel refers to subsidized diesel fuel for vehicles that provide public transportation services. Non-PSO diesel is fuel that is not subsidized by the government (i.e. private sector fuel).

subsidies funded by the Crude Palm Oil (CPO) fund agency (BPDPKS) only for PSO diesel, due to projected lower CPO levy collection. The GOI is providing a transition period until the end of February 2025 for fuel retailers to prepare the necessary infrastructure and use up remaining B35 fuel. Post anticipates after a full year of B40 implementation, approximately 80-92 percent of the total biofuel allocation will be met. Therefore, 2024/25 palm oil industrial use is estimated at 14.7 MMT, 300,000 MT higher than for 2023/24. Post revises up 2023/24 industrial use to 14.4 MMT due to biodiesel distribution from January to September 2024 being higher than previously anticipated on increased demand from fuel retailers.

Figure 2. Indonesia Biodiesel Allocation and Realized Distribution



Source: Aprobi, ESDM

To counter continuously rising cooking oil prices, the GOI took measures to improve the cooking oil supply chain and secure cooking oil feedstock. For example, the Ministry of Trade (MOT) banned cooking oil sellers from using “bundling practices” that force buyers of price-controlled cooking oil “Minyakita²” to also purchase other goods.

To secure alternative cooking oil feedstock, the MOT issued a policy to curb exports of Used Cooking Oil (UCO), Palm Oil Mill Effluent (POME), and High Acid Palm Residue (HAPOR) through MOT [Regulation No. 2/2025](#). This policy aims to ensure the sufficient availability of raw materials for the domestic cooking oil industry to implement the “people’s cooking oil” program as well as for the B40 program. The MOT’s new policy also seeks to restrict the “[mixture practice](#)” of blending CPO with palm waste products for export to circumvent restrictions placed on CPO exports, such as the Domestic Market Obligation (DMO) policy³. This “mixture practice” was also incentivized by increased overseas demand for waste-based

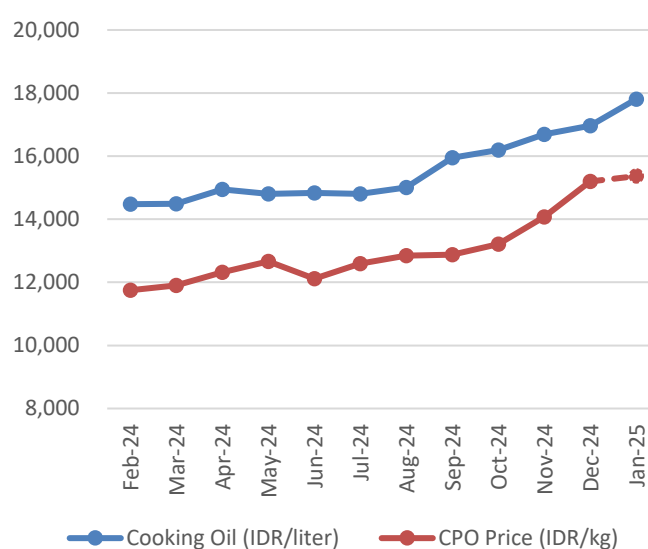
² “Minyakita” is cooking oil provided through the Domestic Market Obligation (DMO) scheme that must be distributed in the domestic market at the Government’s set price (HET).

³ The DMO policy requires palm oil producers/exporters to sell a portion of their CPO domestically to the cooking oil industry at a regulated price in order to obtain a CPO export permit.

biofuel feedstocks and the former disparity between Indonesia's export duties for CPO and palm waste products. In September 2024, the GOI increased the ceiling price for DMO-supported cooking oil to better compensate exporters for rising international CPO prices they were forgoing to comply with the DMO policy. In October 2024, the GOI obligated exporters of palm waste products to also comply with the DMO policy, which formerly only applied to crude and refined palm oil exports, aiming to increase cooking oil supplies by expanding the types of feedstocks available for domestic use.

Despite cooking oil prices remaining above 2023/24 levels, Post estimates 2024/25 palm oil consumption in the food sector at 7.1 MMT, an increase of 50,000 MT from 2023/24.

Figure 3. Cooking Oil and CPO Prices (2024-2025)



Source: MOT, ESDM

Trade

Post reduced Indonesia's 2024/25 palm oil export estimate by 2 percent to 25.5 MMT on lower exportable volumes due to the implementation of the new B40 biodiesel blending program. However, the 2024/25 export estimate is 14 percent higher than 2023/24 exports on recovering exportable supplies following production decreases during the 2023 El Nino-induced drought.

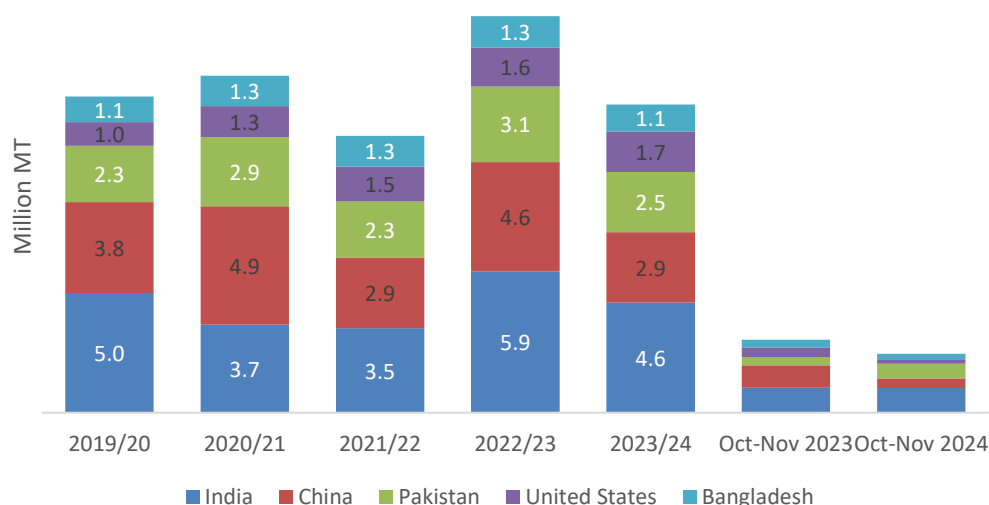
Indonesia continues to use its CPO export levy to collect more funds for its biodiesel mandate program, now at the B40 stage. After having reduced the export levy due to relatively weak CPO export demand in September 2024 (see GAIN [ID2024-0025](#)), the GOI now plans to [increase the export levy](#) once again to bolster subsidies for the B40 biodiesel mandate program.

However, palm oil shipments remained weak from October to November 2024, reaching 4.2 MMT, a 12 percent reduction from the corresponding period last year. If the export levy is raised, Indonesia's palm oil competitiveness is expected to decline for the remainder of 2024/25.

In addition, Indonesian palm oil will face tougher competition with other vegetable oils as seen from November to December 2024, when international palm oil prices surpassed soybean oil prices. Palm oil prices soared 36 percent during second semester of 2024.

Key destinations for Indonesia's 2024/25 palm oil exports are expected to remain India, China, Pakistan, the United States, and Bangladesh. Exports to India are projected to decline 24 percent to reach between 3 to 4 MMT amidst tougher competition with other vegetable oils. Strong palm oil prices are also expected to limit palm oil demand in China, with shipments from Indonesia expected to decrease 15 percent to reach between 2 to 3 MMT for 2024/25. Shipments to the United States are forecast to remain below 2 MMT.

Figure 4. Top 5 Destination of Indonesia Palm Oil Exports



Source: Trade Data Monitor LLC

Stocks

Indonesia's 2024/25 palm oil stocks are projected to decline to 3 MMT largely due to higher domestic use and recovering exports.

Table 1. Production, Supply, and Distribution (PSD) for Palm Oil, 2022/23-2024/25

Oil, Palm Market Year Begins Indonesia	2022/2023		2023/2024		2024/2025	
	Oct 2022		Oct 2023		Oct 2024	
	USDA Official	New Post	USDA Official	New Post	USDA Official	New Post
Area Planted (1000 HA)	0	0	0	0	0	0
Area Harvested (1000 HA)	13500	13500	13500	14600	14000	14500
Trees (1000 TREES)	0	0	0	0	0	0
Beginning Stocks (1000 MT)	7309	7309	5107	5107	4760	5175
Production (1000 MT)	45000	45000	43000	44100	46500	45500
MY Imports (1000 MT)	0	0	1	1	0	0
Total Supply (1000 MT)	52309	52309	48108	49208	51260	50675
MY Exports (1000 MT)	28077	28077	22273	22273	24000	25500
Industrial Dom. Cons. (1000 MT)	11900	11900	13500	14400	14500	14700
Food Use Dom. Cons. (1000 MT)	6950	6950	7300	7050	7550	7100
Feed Waste Dom. Cons. (1000 MT)	275	275	275	310	275	310
Total Dom. Cons. (1000 MT)	19125	19125	21075	21760	22325	22110
Ending Stocks (1000 MT)	5107	5107	4760	5175	4935	3065
Total Distribution (1000 MT)	52309	52309	48108	49208	51260	50675
Yield (MT/HA)	3.3333	3.3333	3.1852	3.0205	3.3214	3.1379
(1000 HA) ,(1000 TREES) ,(1000 MT) ,(MT/HA)						
OFFICIAL DATA CAN BE ACCESSED AT: PSD Online Advanced Query						

Commodity:

Oilseed, Soybean

Production

Indonesian soybean production estimates for 2024/25 remain unchanged at 350,000 MT, a slight decrease of 10,000 MT on reduced harvested areas (see GAIN Report [ID2024-0004](#)).

Consumption

The first phase of Indonesia's Free Nutritious Meals (MBG) program rolled out in the first week of January 2025. The initial phase covers 650,000 beneficiaries, including students and pregnant women, across 31 provinces. [The ambitious program](#) aims to target 3 million students by April 2025 and then double to 6 million students by August 2025. In 2029, it is targeted to reach 82.9 million Indonesians (all children plus pregnant and lactating mothers). Currently the program operates 238 kitchens with each serving approximately 3,000 meals per day. Since the kitchens are procuring fresh food from local suppliers, Post expects the program to include soy-based foods that are readily available in most densely populated areas such as Java and Sumatera. With the program's current budget of 10,000 rupiah (\$0.62) per meal, soy-based foods such as tempeh and tofu are preferable to procure in order to stay within the tight budget while still meeting the program's mandatory nutrition standards.

Figure 5. Indonesia's Free Nutritious Meals (MBG) Program

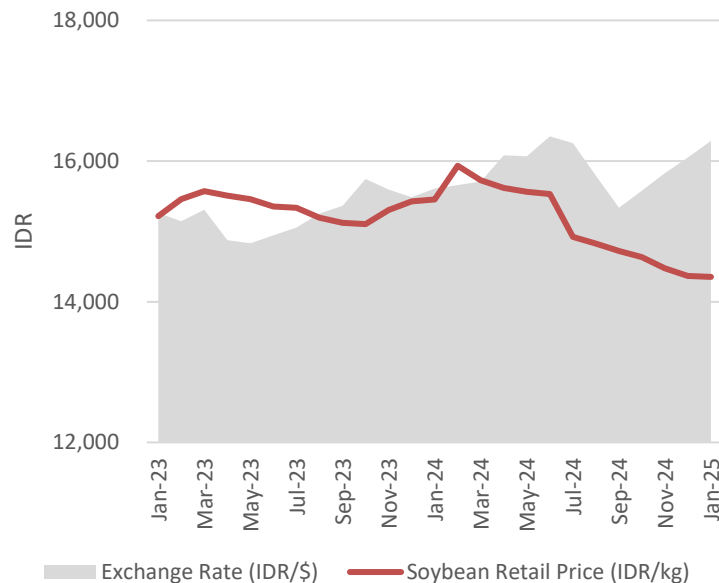


Left: Stir-fried soybean tempeh (top left) served in a meal for elementary school students in West Java. Right: students with the prepared meal.

Source: FAS Jakarta (January 2025)

Due to the program's scheduled expansion and stable-to-low retail prices for soybeans, Post expects soybean demand from tempeh and tofu producers to increase 6 percent to 2.78 MMT for 2024/25, an increase from 2.62 MMT for 2023/24.

Figure 6. Soybean Retail Prices and Exchange Rates, 2023-2025



Source: MOT, X-rate.com

Trade

On continued demand from the food sector, Post maintains soybean import estimates at 2.6 MMT for 2024/25, one percent higher than for 2023/24. Stable soybean prices and the expansion

of the Free Nutritious Meals program are expected to increase soybean demand. However, a slow recovery from weak consumer purchasing power in 2023/24 is expected to limit growth.

Indonesia set its Most Favored Nation (MFN) import duty for soybeans at zero percent. The zero tariff ensures stable supplies to support soy-based food processors, mostly tempeh and tofu producers which are small-scale, home-based industries. Post expects major soybean suppliers to Indonesia for 2024/25 to remain the United States, with a market share of between 85 to 90 percent, and Canada with 10-12 percent. The preference for U.S. soybeans is largely due to Indonesia's preference for their reliable supplies, yellow color, and large bean size.

Figure 7. Indonesia 2023/24 Soybean Imports by Origins

	2019/20	2020/21	2021/22	2022/23	2023/24	2023/24 Oct-Nov	2024/25 Oct-Nov
U.S.	2,382,391	2,303,618	1,905,025	1,989,035	2,259,209	168,468	359,132
Canada	244,363	252,906	275,980	263,602	251,471	19,165	38,896
Argentina	633	47,000	78,107	48,794	22,901	-	-
Brazil	-	9,238	41,735	570	23,650	23,650	-
Other	8,545	4,209	6,299	6,280	9,565	1,631	1,490
Total	2,635,932	2,616,971	2,307,146	2,308,281	2,566,796	212,914	399,518

Source: Trade Data Monitor, LLC

Stocks

Limited growth on food use and favorable prices are expected to keep soybean ending stocks between 200,000 MT to 300,000 MT. The GOI prioritizes keeping stocks for staple foods other than soybeans (e.g. rice), leaving importers and distributors holding the majority of soybean stocks.

Table 2. Production, Supply, and Distribution (PSD) for Soybean, 2022/23-2024/25

Oilseed, Soybean Market Year Begins Indonesia	2022/2023		2023/2024		2024/2025	
	Oct 2022		Oct 2023		Oct 2024	
	USDA Official	New Post	USDA Official	New Post	USDA Official	New Post
Area Planted (1000 HA)	375	375	330	330	330	330
Area Harvested (1000 HA)	330	330	320	320	310	310
Beginning Stocks (1000 MT)	94	94	100	100	129	249
Production (1000 MT)	390	390	375	360	360	350
MY Imports (1000 MT)	2308	2308	2567	2567	2650	2600
Total Supply (1000 MT)	2792	2792	3042	3027	3139	3199
MY Exports (1000 MT)	2	2	3	3	2	3
Crush (1000 MT)	0	0	0	0	0	0
Food Use Dom. Cons. (1000 MT)	2540	2540	2760	2620	2800	2780
Feed Waste Dom. Cons. (1000 MT)	150	150	150	155	150	155
Total Dom. Cons. (1000 MT)	2690	2690	2910	2775	2950	2935
Ending Stocks (1000 MT)	100	100	129	249	187	261
Total Distribution (1000 MT)	2792	2792	3042	3027	3139	3199
Yield (MT/HA)	1.1818	1.1818	1.1719	1.125	1.1613	1.129

(1000 HA) ,(1000 MT) ,(MT/HA)

OFFICIAL DATA CAN BE ACCESSED AT: [PSD Online Advanced Query](#)

Commodity:

Meal, Soybean meal

Production

Indonesia does not produce soybean meal.

Consumption

Post revises up Indonesia's soybean meal consumption to 5.3 MMT for 2024/25 on lower soybean meal prices and improved demand from the feed industry due to the gradual expansion of the GOI's Free Nutritious Meals program. The revised figure reflects a 3 percent recovery from 2023/24 but is still below 2022/23 levels.

The poultry feed industry remains the key driver for soybean meal use in Indonesia, accounting for approximately 85-90 percent of total feed production. Soybean meal is largely used for poultry feed production at a 20 to 25 percent inclusion rate. Aquafeed production is the second largest soybean meal use and has a soybean meal inclusion rate of between 30 to 40 percent. The production of other feed such as dairy cattle feed slowed as the dairy cow population continued to decline in 2024, although it is slowly rebounding in 2025 and may ramp up as the GOI prioritizes importing large quantities of live dairy cattle (see [ID2024-0038](#))

Trade

Indonesia's soybean meal imports are forecast to increase to 5.4 MMT for 2024/25, 7 percent higher compared to the previous year, recovering from weak feed industry performance in 2023/24 due to a culling mandate, higher feed ingredients costs (mainly corn), and weaker purchasing power (see [ID2024-0022](#)). Brazil is expected to remain Indonesia's major supplier of soybean meal in 2024/25, followed by Argentina and the United States. Due to lower prices of U.S. soybean meal in 2023/24, imports of soybean meal from the United States rose an estimated 43 percent to 167,000 MT in 2023/24.

The GOI set Indonesia's MFN import duty for soybean meal at zero percent, paving the way for competitive feed as well as affordable animal proteins.

Figure 8. Indonesia Soybean Meal Imports by Origin (MT)

	2019/20	2020/21	2021/22	2022/23	2023/24	2023/24 Oct-Nov	2024/25 Oct-Nov
Brazil	2,001,355	2,135,270	2,539,619	3,349,031	3,940,200	654,820	683,583
Argentina	2,909,138	2,725,998	2,865,441	1,946,855	888,020	103,573	268,084
U.S.	99,713	249,338	23,578	116,454	166,616	24,547	9,630
India	6,046	172,977	5,171	9,531	6,394	643	1,328
Other	26,779	72,319	101,616	12,108	53,685	1,465	22,968
Total	5,043,031	5,355,902	5,535,425	5,433,979	5,054,915	785,048	985,593

Source: Trade Data Monitor, LLC

Stocks

Post estimates 2024/25 soybean meal stocks at 250,000 MT on the feed industry's anticipation of increasing demand for poultry products and favorable soybean meal prices.

Table 3. Production, Supply, and Distribution (PSD) for Soybean Meal, 2022/23-2024/25

Meal, Soybean Market Year Begins Indonesia	2022/2023		2023/2024		2024/2025	
	Oct 2022		Oct 2023		Oct 2024	
	USDA Official	New Post	USDA Official	New Post	USDA Official	New Post
Crush (1000 MT)	0	0	0	0	0	0
Extr. Rate, 999.9999 (PERCENT)	0	0	0	0	0	0
Beginning Stocks (1000 MT)	397	397	251	251	106	156
Production (1000 MT)	0	0	0	0	0	0
MY Imports (1000 MT)	5434	5434	5055	5055	6000	5400
Total Supply (1000 MT)	5831	5831	5306	5306	6106	5556
MY Exports (1000 MT)	0	0	0	0	0	0
Industrial Dom. Cons. (1000 MT)	0	0	0	0	0	0
Food Use Dom. Cons. (1000 MT)	0	0	0	0	0	0
Feed Waste Dom. Cons. (1000 MT)	5580	5580	5200	5150	5740	5300
Total Dom. Cons. (1000 MT)	5580	5580	5200	5150	5740	5300
Ending Stocks (1000 MT)	251	251	106	156	366	256
Total Distribution (1000 MT)	5831	5831	5306	5306	6106	5556
(1000 MT) ,(PERCENT)						
OFFICIAL DATA CAN BE ACCESSED AT: PSD Online Advanced Query						

Attachments:

No Attachments